Air Liquide S.A. - EPA:AI

07/04/2026

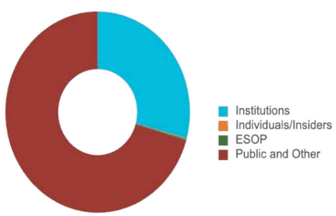
Equity Research Report

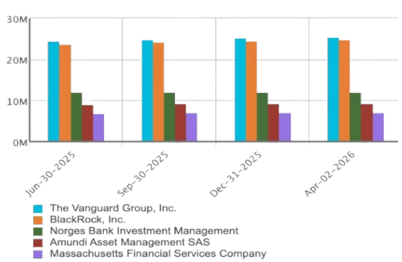
Company Overview

Company Highlights

- **History:** Air Liquide is a world leader in gases, technologies, and services for Industry and Health. With a presence in 75 countries and approximately 67,000 employees, the group serves more than 3.9 million customers and patients. Oxygen, nitrogen, and hydrogen are small molecules essential for life, matter, and energy. They embody Air Liquide's scientific territory and have been at the core of the company's activities since its creation in 1902.
- **Values:** The group's identity is rooted in "inventing the future" through a commitment to safety, long-term reliability, and environmental stewardship.
- **Strategy:** The ADVANCE strategic plan focuses on decarbonizing the industry through massive investments in low-carbon hydrogen and carbon capture (CCS). Simultaneously, Air Liquide targets high-growth markets like Electronics (semiconductors) and Healthcare to diversify risk and capture high-margin technological trends.
- **Finance:** Air Liquide maintains an exceptionally robust balance sheet (A-range rating) with a focus on high cash-flow conversion and capital discipline. Its financial model is characterized by long-term capital intensity balanced by "Gas-and-Power Pass-through" contracts, ensuring margin stability and a 30-year track record of dividend growth.
- **Overall:** A cornerstone asset for investors seeking reliable yield and a strategic stake in the global path to Net Zero.

Ownership





- **Institutional net selling pressure:** Institutional investors show a significant net reduction in positions, with 16.2M shares decreased vs only 1.8M increased, indicating potential profit-taking or reduced short term confidence.
- **Strategic investor reduction:** A 10.7M share reduction by a strategic investor may signal weakening strategic alignment or reduced long-term commitment. However, this was not a full exit and does not indicate a complete loss of confidence.

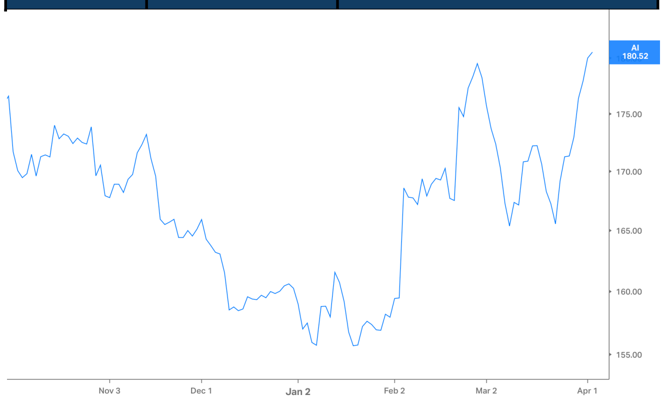
Valuation & Share Performance

Key Valuation Statistics

Enterprise Value	**€114.28bn**	**Revenue (FY25)**	**€26.94bn**
Market Cap	**€103.86bn**	**EBITDA (FY25)**	**€7.50bn**
P/E	**29.52x**	EBITDA Margin '25	**27.84%**
EV/EBITDA	**14.79x**	Debt / EV	**0.51x**
Cash	**€3.96bn**	Total Debt	**€13.65bn**

Industry Data	Average
Industrial Gases sector	
EV/EBITDA – 14.79x	19.30x
EV/Revenue – 4.24x	7.27x
P/E – 29.52x	34.40x

Share Price	Current: 180.52€	High/Low: 187.12€/154.86€



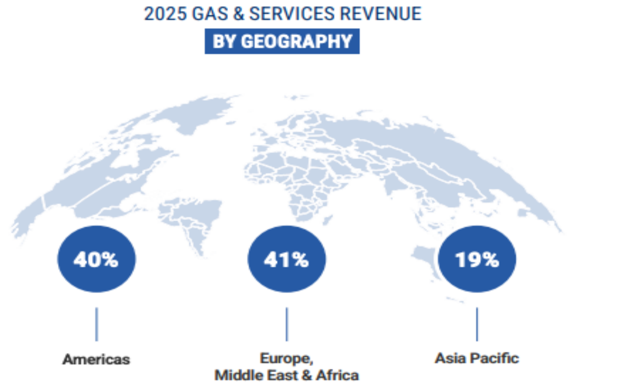
Air Liquide Business Model

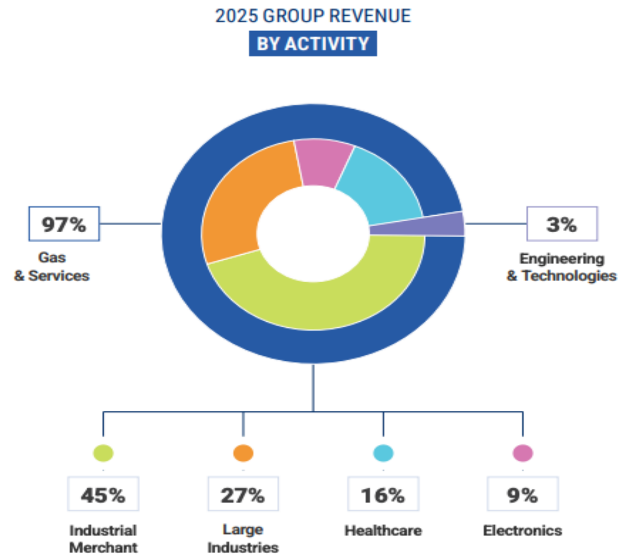
Air Liquide operates a capital intensive, B2B industrial gas model focused on long term contracts. These are supported by diversified end markets including industry, healthcare, and electronics.

The group relies on 2 major operational pillars:

- **Gas and Services (97% of revenue – €26.1bn) :** Air Liquide's core business, supplying industrial, medical, and specialty gases to a wide range of customers across industries, healthcare, and electronics. This segment is characterized by long term contracts (15-20 years) and shared production assets to improve reliability and reduce costs.

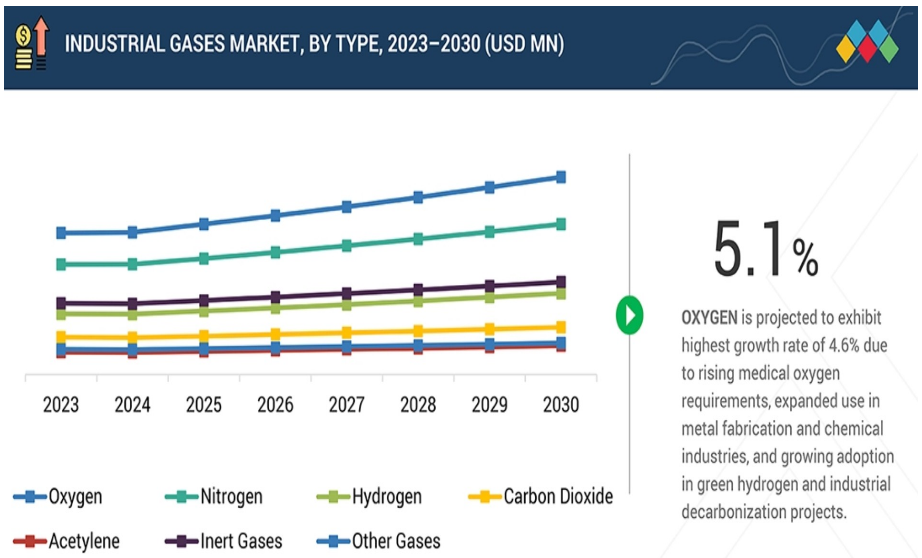
- **Engineering and Construction (3% of revenue – €0.86bn):** This segment designs and builds gas production units and infrastructure focusing on industrial gas production technologies. Its units are available for Air Liquide's own use or for sale to external customers. This segment is more project-based and cyclical, resulting in lower and less stable margins. It plays a strategic role in enabling the expansion and efficiency of the core Gas & Services segment.





Industry Overview

Key factors



- **Growing demand from electronics industry:** Driven by AI, IoT, and 5G, the demand of these gases are increasing in semiconductor manufacturing and chip assembly. Growth in the semiconductor industry is projected to reach 26% in 2026 which is directly associated with the need to meet more industrial gas demand in high tech manufacturing.

- **Advanced semiconductor manufacturing expansion:** The industrial gas market is set for strong growth as advanced semiconductor production expands. Advanced chips require ultra-pure gases, and growth in AI, 5G, and quantum computing is driving new semiconductor manufacturing facilities in the US, Taiwan, South Korea, and the EU, creating opportunities for suppliers to expand locally and secure long-term contracts.

- **Medical gas expansion in emerging healthcare markets:** The global medical gases market is projected to grow from about $16B in 2024 to over $25B by 2030 (7-8% CAGR), with emerging markets like India growing faster at around 9%. This is driven by expanding healthcare infrastructure and rising demand across Asia, the Middle East, and Africa. For industrial gas companies, this provides stable, high-margin, non-cyclical demand and long-term contracts.

- **Green hydrogen scale up:** Green hydrogen is a key long-term demand driver for industrial gases, with the market expected to grow around 30-40% annually through 2030. Government support in the EU and US is accelerating investment, creating strong structural growth and long-term contract opportunities for the sector.

- **Strict Regulatory Compliance:** The industrial gases market is subject to strict environmental, safety, and transport regulations due to the hazardous nature of many gases. These compliance requirements increase costs and operational complexity, limiting growth, especially in developing markets with evolving regulatory framework.

Investment Thesis

Operational Excellence and Margin Leverage (ADVANCE Plan)

- While the market focuses on volumes, Air Liquide is optimizing its profitability through its ADVANCE strategic plan. The digitization of control centers and the energy efficiency of air separation units are driving an expansion of the operating margin (targeted at +200 bps for 2025–2026).
- This rigorous management, combined with a dividend and bonus share distribution policy that has been uninterrupted for 30 years, creates a positive risk asymmetry for long-term investors.

Driving the Energy transition (“Hydrogen-Native” strategy)

- Air Liquide is no longer just a gas supplier, but a pivotal technology platform for decarbonization. The widespread integration of renewable hydrogen and carbon capture and storage (CCS) solutions enable the group to turn regulatory constraints into growth drivers.
- With major projects such as Normand'Hy, the group is securing massive subsidies and exclusive supply contracts, ensuring cash flow visibility for over 15 years.

Dominance in the High-Tech and Electronics markets

- Contrary to fears of an industrial slowdown, the Electronics division benefits from a significant technological barrier to entry. The supply of ultra-pure gases for the manufacture of next-generation semiconductors is driven by global “reshoring” (CHIPS Act, EU Chips Act).
- The expansion of capacity by strategic clients such as TSMC and Intel should enable the capture of additional market share by 2027, creating a positive decoupling from traditional economic cycles.

Catalyst path

Horizon	Event catalyst	Expected impact
Q1 2026	"Hard-to-abate" contract signings	Backlog Acceleration & Risk Reduction: Signing 15-20 year take-or-pay contracts with steel (Thyssenkrupp) and cement giants. This provides a massive boost to the investment backlog and proves that decarbonization is a concrete revenue stream. It mechanically lowers the equity risk premium in DCF models, as long-term cash flow visibility reaches record levels.
Q2 2026	Commissioning of giant projects	The operational launch of units like Normand'Hy (200 MW electrolyzer) marks the shift from R&D to industrial scale. We expect an immediate uplift in the Large Industries segment's operating margin. This will also trigger the recognition of government operational subsidies (OPEX support), directly flowing into the EBITDA.
Q3 2026	Central Bank pivot (ECB/Fed)	As a capital-intensive "Bond Proxy," Air Liquide is highly sensitive to interest rates. A pivot lowers the WACC (Weighted Average Cost of Capital), making future green projects more NPV-positive. Historically, lower rates trigger a rotation into high-quality yield stocks, driving a re-rating of the P/E multiple toward its 5-year high.
Q3 2026	Acceleration of Electronics demand	The ramp-up of new semiconductor Giga-fabs (TSMC, Intel) in Arizona and Germany will spike demand for carrier gases and extreme-purity materials. Since the Electronics branch carries significantly higher margins than the group average, this "mix effect" will drive a disproportionate increase in net earnings per share (EPS).
Recurrent	Awarding of free shares	Usually executed on a 1-for-10 basis every two years. This operation technically lowers the price per share, increasing liquidity. Historically, the "dilution" is closed by the market within months due to the strong buy-side demand.

Risks considerations

Risk Level	Risk Factor	Description & Impact Analysis
LOW	Regulatory Uncertainty	Minor delays in the application of public subsidies (e.g., EU hydrogen subsidies). The impact is limited because Air Liquide self-finances a large part of its R&D.
MEDIUM	Energy Volatility	A sudden surge in electricity or gas prices. Although "pass-through" protects margins, an extreme peak can create a quarterly cash flow mismatch.
MEDIUM	Capital Intensity	A prolonged maintenance of high interest rates by the ECB/Fed increases the cost of debt financing for new giant projects (electrolysers).
HIGH	Geopolitical Execution	A severe economic slowdown in China or major trade fragmentation. This would directly impact the volumes of the Industrial Merchant and Electronics divisions.
HIGH	Competition & Market Share	Commercial aggressiveness from Linde or Air Products on large semiconductor contracts ("Over-bidding"). This could force Air Liquide to reduce its prices to retain its key customers.

Price Target & Recommendation

Price Target		
Valuation Summary		
Analysis	**Price**	**Weight**
Current price	€180.52	20%
Brokers	€197.00	20%
Comparables	€251.57	20%
DCF	€209.93	20%
DDM	€337.48	20%
Target Price	**€235.30**	100%

We believe that under €200, AI is a low-risk play and therefore a buy for our growth portfolio.

Our price target is €235, giving us a 30% upside, but this is a long-term play.

A slowdown in AI chips making or the emergence of a serious competitor is where we could consider selling before our price target.

We put a stop loss at €165.